BREAKWAVE ADVISORS

Tanker Shipping

Bi-Weekly Industry Report

April 7, 2026

- **Little Progress for MEG VLCCs as War Enters its Second Month –** Over the past fortnight, VLCC activity originating from the Arabian Gulf has remained subdued, prompting the market to pivot its focus toward cargo loadings from Yanbu and the Gulf of Oman, where **volumes have surged** significantly above pre-conflict levels. While global attention remains fixed on the Strait of Hormuz, the extreme volatility of **the situation precludes definitive short-term projections**; currently, transit through the straits is largely restricted, with activity primarily limited to Iranian-linked cargoes. Despite this regional instability, the broader VLCC market remains supported by substantial global oil arbitrage opportunities, a trend we expect to persist. The VLCC futures curve is currently in **steep backwardation**, reflecting market expectations of an eventual resolution, with third-quarter futures trading at a nearly **50% discount** to the current TD3C Index. Looking ahead, the significant drawdown in global oil inventories resulting from the ongoing energy crisis is establishing a **robust foundation for the tanker market** in the coming years, though this demand growth will be partially tempered by an expanding orderbook that now represents over **20% of the existing fleet**. Ultimately, while the post-conflict energy landscape remains uncertain, indicators suggest the tanker market may emerge from this period with **stronger fundamentals** than when the conflict began.

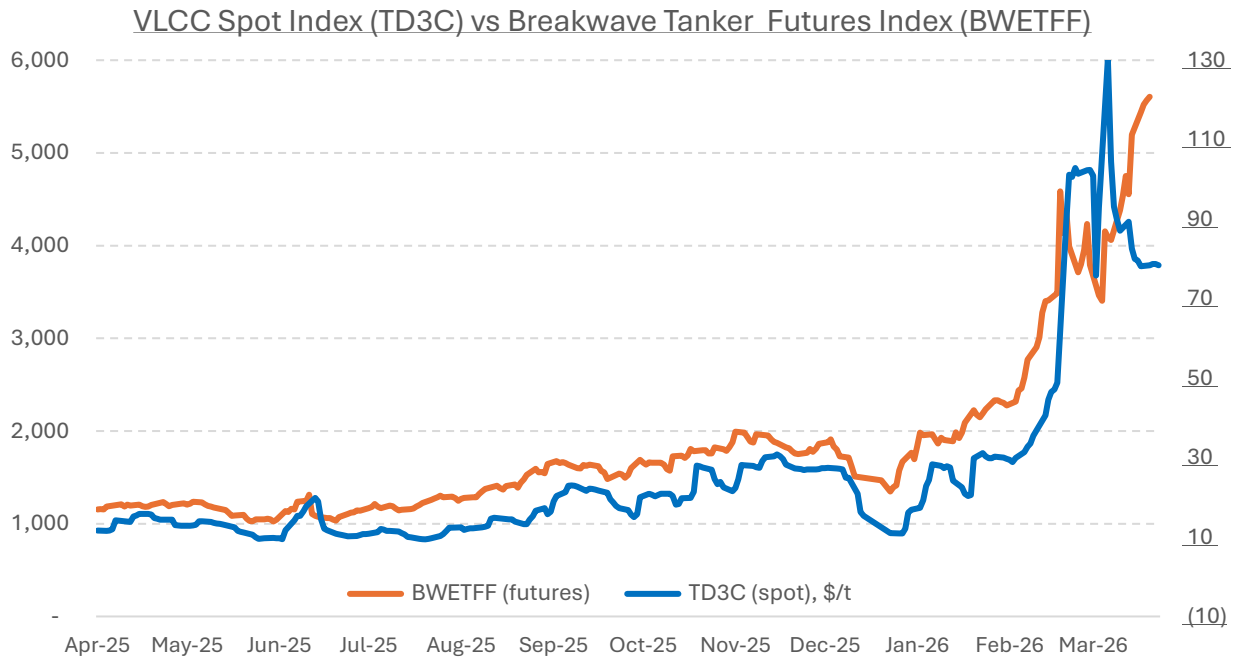
- **The Clock is Ticking as Inventories Draw and Oil Deliveries Dry Out –** Over a month into the conflict, the oil market has yet to fully adjust to the scale of current disruptions, with price increases remaining **more tempered than anticipated** despite the effective closure of the Strait of Hormuz. While pipeline bypasses and strategic inventory releases have provided **temporary relief** to a strained market, these measures are insufficient to offset the substantial drawdown in global inventories or the profound logistical chain interruptions. The next two weeks represent a **critical juncture** as the final cargoes loaded prior to the conflict reach their destinations, likely revealing a significant supply gap as tanker arrivals begin to dwindle. Given that restarting the global oil supply chain is a multi-month process, if the current geopolitical landscape remains unchanged, we anticipate that market equilibrium will be achieved solely through price escalation, leading to inevitable **demand destruction**. Asia and Europe remain the **most vulnerable** regions to this shift; furthermore, while oil prices will remain highly sensitive to headline risk amid ongoing negotiations, the underlying damage to global supply-demand balances has already been established.

- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. Shifting oil fundamentals because of the US-Iran war should lead to significant growth in future tanker demand as economies replenish inventories which will be partly offset by a growing orderbook due to the exceptionally strong freight market of the last few years.

Short-term Indicators	
Momentum:	Positive
Sentiment:	Positive
Fundamentals:	Positive
Breakwave Tanker Futures Index:	**6032**
30D: 62.5%	↑
YTD: 310.6%	↑
YOY: 421.4%	↑
VLCC Middle East-Asia Spot Rates:	**72.88**
30D: -22.7%	↓
YTD: 412.0%	↑
YOY: 501.0%	↑

Reuters:	BWET.K
Bloomberg:	BWET US
Exchange:	NYSE

Breakwave Advisors Research
research@breakwaveadvisors.com



The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	**YTD**	**YOY**
World Oil Demand	106,069 kbpd	1.0%
Oil Supply, OPEC	29,520 kbpd	7.2%
Oil Supply, non-OPEC	73,916 kbpd	1.0%
OECD Total Crude Oil Stocks	1020.4 MMbls	1.2%
US Crude Oil Exports	51.8 MMbls	-2.4%
China Oil Imports	675.9 MMbls	6.1%
Global Crude Oil On Water	1192.3 MMbls	-0.4%

Supply		
Tanker Fleet	717.8 mdwt	2.9%

Freight Rates		
VLCC Middle East-Asia, USD/ton	21.62	71.1%
Suezmax West Africa-Europe, USD/ton	22.47	27.9%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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